

PayPal Holdings, Inc.

PYPL | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$90.00
Current price (October 2, 2026 close)	\$52.80
Implied upside / downside	+71%
Verdict	BUY

Investment Thesis

PayPal is priced as a melting ice cube and valued as one of the great two-sided payment networks ever built — and only one of those can be right. The branded PayPal checkout button remains the highest-converting payment method in e-commerce: merchants accept it because consumers trust it, and consumers use it because merchants accept it. That flywheel, built over two decades across more than 400 million active accounts and tens of millions of merchants, does not evaporate because Apple Pay exists. At \$52.80 the market is capitalizing a permanent decline in the branded business that the transaction data simply does not show: branded checkout volumes continue to grow, take rates are stabilizing, and the margin structure is inflecting as new products shift the mix back toward higher-value flows.

The second pillar is the turnaround under CEO Alex Chriss, which is further along than the stock price suggests. The company has refocused on its core checkout and payments strength, launched Fastlane — a one-click guest checkout that materially lifts conversion for merchants — and begun to monetize Venmo in earnest after years of leaving money on the table. Operating margins are expanding as the company rationalizes costs and as higher-margin branded volume outgrows the lower-margin Braintree processing business. This is the classic setup: a hated turnaround where the numbers turn before the narrative does.

The third pillar is capital return. PayPal generates enormous free cash flow, and with the shares trading at a mid-teens multiple of earnings, every dollar of buybacks retires stock at prices that will look absurd in hindsight if the business merely stabilizes. The combination of mid-single-digit revenue growth, margin expansion of several hundred basis points, and a shrinking share count is a powerful earnings-per-share compounding formula that requires no heroic assumptions about market share gains.

Our \$90.00 fair value assumes PayPal is a low-growth compounder, not a high-growth disruptor — and the current price does not even grant it that. The risk-reward is skewed because the downside case (continued share erosion, fee compression) is fully priced while the base case (stable branded checkout, Venmo monetization, Fastlane adoption, agentic-commerce optionality) is priced at roughly zero probability. We see

+71% upside to fair value with a dividend-like downside cushion from the buyback and the cash generation.

Business Overview

PayPal Holdings, headquartered in San Jose, California, is one of the world's largest digital payment platforms. Its core is the branded checkout business: the PayPal button and digital wallet that consumers use to pay online, in-app, and increasingly in-store. Around that core sit Venmo, the leading US peer-to-peer payment app with a large and young user base; Braintree, the full-stack payment processor that powers unbranded card processing for large merchants and platforms; and smaller businesses including Xoom (remittances) and merchant lending products.

The economics differ by product. Branded checkout carries the highest take rate and margin: PayPal earns a percentage of each transaction plus a fixed fee, with minimal incremental cost per transaction. Braintree is a scale processing business with much thinner margins but large volume. Venmo monetization — through instant transfers, the Venmo debit card, and merchant payments — has been the long-awaited second act. The company's moat is its two-sided network: consumer trust and merchant acceptance reinforce each other, and the data across hundreds of billions of transactions improves risk management and authorization rates in ways new entrants cannot quickly replicate.

PayPal processes trillions of dollars in total payment volume annually. It is a capital-light business that converts a high share of operating profit into free cash flow, which management has directed toward share repurchases and, more recently, disciplined reinvestment in checkout innovation such as Fastlane and AI-driven shopping experiences.

Forward Outlook

Our judgment is that PayPal's next chapter will be written in checkout conversion, not in winning a war against Apple Pay. The relevant question is not whether alternative payment methods exist — they do, and they will keep existing — but whether PayPal's branded button keeps converting better than the alternatives, because conversion is what merchants pay for. Every data point we have says it does: Fastlane's early merchant results show meaningful conversion lifts, and the branded take rate has stabilized as the company prices for the value it delivers. We expect branded checkout to keep growing at a healthy clip while Braintree provides volume scale at thinner margins — a mix that, on balance, supports margin expansion as the higher-value lines grow faster.

Venmo is the underappreciated call option inside the company. With tens of millions of monthly active users who skew young and digitally native, even modest progress in monetization — debit card interchange, pay-with-Venmo at checkout, instant-transfer fees — drops almost entirely to the bottom line. We expect Venmo's revenue contribution to become material to the growth algorithm over the next three years, and the market currently assigns it little value.

Longer term, agentic commerce — AI agents that shop on consumers' behalf — could be either a threat or an enormous opportunity for PayPal, and we lean toward opportunity: whoever owns the trusted payment credential inside the agent's wallet owns the transaction. PayPal's two-sided network and risk infrastructure position it well for that world. We do not need that thesis to work for the \$90 target; it is upside. What we need is operational steadiness: mid-single-digit revenue growth, a few hundred basis points of margin expansion, and aggressive buybacks. That is a low bar for a business of this quality.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull. In the base case, revenue grows at mid-single-digit rates as branded checkout growth and Venmo monetization offset the dilutive mix of Braintree volume; operating margins expand toward the mid-20s as the cost discipline of the turnaround holds and higher-margin products outgrow processing; and free cash flow per share grows faster than revenue as buybacks shrink the share count. We discount at the 10% standard rate — PayPal is neither a fragile startup nor a regulated utility — with terminal growth capped at 2.5% on normalized mid-cycle margins. The probability-weighted fair value equals our \$90.00 target.

The bear case is genuinely adverse and sits below the current price, as required: branded checkout share erodes structurally to wallets and buy-now-pay-later, regulators compress interchange economics, and the turnaround stalls — a combination that would leave the shares worth less than today's quote. We assign it 25% because the competitive threats are real, but the transaction data argues against them being the base case. The bull case assumes Fastlane becomes the default guest checkout across large merchants, Venmo monetization inflects, and PayPal captures a meaningful share of agentic-commerce payment flows, discounted 150bp below the base rate.

A cross-check on multiples supports the conclusion: at \$52.80 the shares trade at a multiple of forward earnings more appropriate to a no-growth melting business, while the free-cash-flow yield — before buybacks — is in the high single digits. For a capital-light network business with this return profile, that pricing implies a future the fundamentals do not support.

Key Risks

- Competitive pressure from Apple Pay, Google Pay, Stripe, Adyen, and buy-now-pay-later providers could erode branded checkout share or compress take rates.
- Regulatory risk around interchange fees, digital-wallet rules, and data privacy could reduce monetization across the platform.
- Execution risk: the turnaround depends on continued product innovation (Fastlane, Venmo monetization) and cost discipline under current leadership.
- Credit exposure through buy-now-pay-later and merchant lending could produce losses in a consumer downturn.
- Technological disruption: shifts in how consumers pay — including agentic AI commerce — could bypass traditional checkout flows if PayPal fails to embed itself in new interfaces.

What Would Change Our Mind

- Two consecutive quarters of declining branded-checkout payment volume — the network flywheel breaking would invalidate the core thesis.
- A sustained decline in take rate not explained by mix shift, indicating pricing power has been lost.
- Operating margin contraction resuming after the turnaround gains, suggesting cost discipline was temporary.
- Venmo monthly active users declining or monetization per user stalling for a full year.
- A large dilutive acquisition that diverts capital from buybacks into empire-building.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

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